

Important Deal Terms

Detailed terms and other standard terms to protect and safeguard interest of both the parties shall be captured in formal agreement, that will be signed between the Startup/Company and the Investor(s). Some important terms are mentioned in this note for ready reference and to facilitate informed decision.

Type/Class of Securities:	CCD (Compulsorily Convertible Debentures)
Coupon Rate:	0.0001%
Pre-Money Valuation:	Between Rs. 20 Cr and Rs. 25 Cr
Valuation Condition:	20% discount to next fund raise.

Conversion or Exit Mechanism for CCD Investors

The Company and the Promoters shall make all reasonable endeavours to provide conversion or exit to the Investors by way of:

1. **Initial Public Offer (IPO):** If there is IPO, before the termination of underlying securities, Mandatory conversion into equity shares of the company prior to occurrence of an IPO at a price as per applicable laws.

2. **Merger Event:** If there is a merger/amalgamation event before the completion of 7 (seven) years from the date of issuance of the underlying securities, the investor will automatically be entitled to receive shares or securities of the surviving or resulting entity immediately prior to, or concurrent with, the consummation of such merger event, value equal to or greater of;

(i) The investment amount or

(ii) The value of the number of shares of Equity shares equal to the quotient of Investment amount divided by the price mentioned in the scheme of merger or amalgamation approved by the relevant authority ("the Conversion value").

The right of the underlying securities holder to receive shares or securities of the other surviving or resulting entity equal in value to the greater of the Investment Amount or Conversion value as above, is on par with the right of holders of Equity Shares and other Equity Linked Securities who are entitled to receive shares or securities of the other surviving or resulting entity immediately prior to, or concurrent with, the consummation of such Merger Event.

3. **Change of Control:** If there is change in control, the investor in its sole discretion shall be entitled to receive his/her investment amount plus any accrued interest.

4. **Dissolution Event:** If there is a dissolution event before the completion of 7 (seven) years from the date of issuance of underlying securities, the investor will automatically be entitled to receive a portion of proceeds through pro-rata liquidation preference on a fully diluted basis, due and payable to the holder of underlying securities immediately prior to consummation of the dissolution event.

5. **Buyout Event:** If company in its sole discretion, at any time before completion of 7 (seven) years from the date of issuance of the Underlying securities, subject to applicable laws that the investment has increased by (x) times, herein referred as ("Multiplier") mentioned as under:

From the date of issuance of underlying securities (x) times the "Investment amount"

- First 12 (twelve) months 2x
- Between 12 (twelve) to 24 (twenty-four) months 3x
- Post 24 (twenty-four) months 4x

The company receives an offer from third party(ies) to purchase / buyout 100% of the Underlying securities, then it shall first give a written notice to "Growth91". The written notice shall state, (i) the legal identity of the proposed third party(ies) purchaser and (ii) other material terms of the proposed buyout. Growth91 shall assist the Company facilitate such buyout at the highest price allowed under the applicable laws. Provided that such price should not be lower than or equal to "Multiplier" mentioned above.

6. Mandatory Call Option: On the occurrence of Multiplier, the company by itself or through any of its affiliates shall have the option to purchase all or any part of the Underlying securities by exercising mandatory call option. The price to be paid by the company pursuant to the exercise of its mandatory call option shall be the highest price allowed under applicable laws. Provided that such price shall not be lower than or equal to (x) times the Investment Amount.

From the date of issuance of underlying securities (x) times the "Investment amount"

- First 12 (twelve) months 2x
- Between 12 (twelve) to 24 (twenty-four) months 3x
- Post 24 (twenty-four) months 4x

7. Mandatory Conversion: On the completion of 7 (seven) years from the date of issuance of Underlying securities ("Conversion date"). In case any of the events mentioned above do not occur before the Conversion date, then the underlying securities shall fully, automatically, and mandatorily convert into such number of equity shares of the company equal to the Investment Amount divided by the Conversion price. Each underlying security shall be converted into conversion shares at a price per equity share ("Conversion Price") determined in the following manner, which is higher of:

- X% of weighted shares average price per share paid by the investor in the immediately previous funding round of conversion date; or
- X% of weighted shares average price per share based on latest valuation report as per Indian laws standing on the conversion date

Where, X is the [100 minus the discount rate of 20%]